

**BEFORE THE
FEDERAL MARITIME COMMISSION**

EARLEAN EDWARDS DUKART,

Complainant,

v.

OCEAN STAR INTERNATIONAL INC., D/B/A/
INTERNATIONAL VAN LINES

Respondents.

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Docket No. 20-03

**RESPONDENT’S SUPPLEMENTAL MEMORANDUM
IN SUPPORT OF MOTION TO DISMISS**

Ocean Star International Inc. d/b/a/ International Van Lines (“Ocean Star” or “Respondent”), by and through Respondent’s attorneys, hereby submits this Supplemental Memorandum in support of Respondent’s Motion to Dismiss the Verified Complaint of Earlean Edwards Dukart (“Complainant”), in its entirety and with prejudice, and to provide any further relief deemed just, reasonable, and proper, in accordance with Rules 12(b)(1), 12(b)(2) and 12(b)(6) of the Federal Rules of Civil Procedure. Rule 12 of the Commission’s Rules of Practice and Procedure states that the Federal Rules of Civil Procedure shall be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. *See* 46 C.F.R. § 502.12.

The Verified Complaint of Earlean Edwards Dukart must be dismissed for lack of personal and subject matter jurisdiction and for failure to state a plausible claim. Complainant has improperly sought to recast common law state contract and tort claims as violations of federal law and has failed to satisfy her burden of making a *prima facie* showing that these

claims fall within the limited jurisdiction of Federal Maritime Commission (“FMC” or the “Commission”). Moreover, Complainant has failed to plead sufficient facts that would allow the Commission to draw a reasonable inference that Ocean Star has committed any violations of the Shipping Act or is otherwise liable for the damages alleged by Complainant. For the reasons set forth herein, good cause therefore exists to grant Ocean Star’s motion that this Complaint be dismissed.

I. INTRODUCTION

Complainant has attempted to bring her complaint (“Complaint”) before the Federal Maritime Commission, pursuant to the Carriage of Goods by Sea Act (“COGSA”), 46 U.S.C. § 30701 *et seq.*, and the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 (the “Shipping Act”), 46 U.S.C. § 40101 *et seq.* With respect to the Shipping Act, the Complaint alleges, in particular, violations of 46 U.S.C. § 41102 (a)(b)(c), 46 U.S.C. § 41103(a)(l), 46 U.S.C. § 41104 (1)(2)(3)(4)(8)(10), and 46 U.S.C. § 41105 (1)(2)(4). While Ocean Star is licensed by the Commission as an ocean transportation intermediary (“OTI”), specifically as a non-vessel-operating common carrier (“NVOCC”) and an ocean freight forwarder (“OFF”), Ocean Star did not engage in any conduct or activities regulated by the Shipping Act or the FMC as related to its dealings with the Complainant. Notably, Ocean Star did not make a booking or issue any house bill(s) of lading in this case. At most, Ocean Star began a business undertaking for Complainant that may have required Ocean Star, at some future date, to act in its capacity as an OTI. Ocean Star’s *potential* role as an OTI is evident from the Ocean Star Terms and Conditions of Service presented to and initialed by the Complainant,

attached hereto as **Appendix – Exhibit A**.¹ Nevertheless, that role was never fulfilled or even started: in this case, Ocean Star never actually arranged ocean transportation, made a booking, issued a house bill of lading, or provided any other regulated services for the Complainant, due to the many delays caused by the Complainant’s own actions and her eventual cancellation of their agreement. Complainant acknowledges as much in her Complaint, stating that she requested cancellation and return of her belongings from storage in Denver. *See* Compl. §§ 45(h), 57, 107.² Given that Ocean Star never provided any regulated ocean transportation services to Complainant, we respectfully argue that the FMC lacks personal jurisdiction over Ocean Star with respect to this proceeding.

Furthermore, we respectfully assert that the FMC lacks subject matter jurisdiction over any and all claims in the Complaint which invoke COGSA as a basis for jurisdiction as well as any and all claims in the Complaint which allege pure breach of contract which are not violations of the Shipping Act. Under Federal Maritime Commission case law and regulations, the Commission’s jurisdiction is limited to violations of the Shipping Act, and a private party is limited to alleging before the FMC violations of the Shipping Act. Given that the FMC has no jurisdiction over claims that relate to COGSA and/or pure breach of contract, these claims must

¹ These Terms and Conditions of Service were also submitted by Ocean Star as pages 26–28 of its February 11, 2020 filing.

² The Order to Brief Motion to Dismiss directed the parties to address “whether insurance was purchased for the shipment and whether a claim has been made against the insurance or bond on file with the Federal Maritime Commission.” As far as Ocean Star is aware, Complainant did not purchase insurance in this instance. While Ocean Star may in the normal course send shippers applications for third party ocean insurance, no ocean transportation services were provided to Complainant by Ocean Star in this case and so third-party ocean insurance was not relevant or applicable. *See* Invoice IN4005736, attached hereto as **Appendix – Exhibit B** (Ocean Star’s invoice to Complainant, which notably did not contain any charges for insurance). This invoice was also submitted by Ocean Star as pages 23–24 of its February 11, 2020 filing.

be dismissed. Finally, to the extent that Complainant attempts to claim Ocean Star violated the Shipping Act, these claims must be dismissed for failure to state a claim, because Complainant has failed to allege facts plausibly amounting to any violation cognizable under the Shipping Act.

II. BACKGROUND

a. Complainant's Allegations

On February 6, 2020, Complainant filed the Complaint alleging that Ocean Star intentionally perpetrated “tortious and other wrongful conduct against the Complainant,” *see* Compl. at *1, and also alleging that Ocean Star violated a laundry list of provisions under the Shipping Act, namely, those codified at 46 U.S.C. § 41102(a)(b)(c), 46 U.S.C. § 41103(a)(l), 46 U.S.C. § 41104(1)(2)(3)(4)(8)(10), and 46 U.S.C. § 41105(1)(2)(4). *See* Compl. at Section II.A. The Complaint alleged that Ocean Star failed to operate or provide services in accordance with the terms of a “Service Agreement,” *see* Compl. at *1, for “professional services” related to the transportation of household goods for an international relocation between Denver, CO, USA, to Consejo Shores, Belize, Central America. *See* Compl. at Section III.A. The Complaint further alleged that Ocean Star “[b]y way of refused release of cargo, extorted Complainant into paying invalid invoices with inaccurate fees and charges that were disputed by the Complainant,” *id.*, and that Ocean Star failed to establish or observe just and reasonable practices relating to the receiving, handling or delivery of property and “unlawfully submitted fraudulent documents.” *Id.* According to the Complaint, Complainant allegedly suffered substantial injury, including but not limited to, unreasonable and unjust payments and obligations, lost profits, substantially damaged and lost inventory, lost business opportunities, and consequential and incidental

damages. *See* Compl. at *1. Complainant seeks an amount of at least \$256,241.00 for the “substantial damages” suffered by Complainant as a result of Ocean Star’s alleged “failure to maintain contractual obligations along with breach of contract, fraud, forgery, deceptive trade practice, gross negligence and intentional misconduct.” *See* Compl. at Section V.A. Complainant’s calculation of the total for damages included reparations for lost profits, substantially damaged and lost inventory, lost business opportunities, “consequential and incidental” damages and expenses, “pain and suffering, mental anguish and duress, damage/loss of consortium,” “medical expenses” and “punitive damages.” *See* Compl. at *1, Section V.A.1–V.A.5.

b. Procedural History

On February 11, 2020, Respondent Ocean Star submitted a filing in response to the Complaint. Ocean Star argued, in relevant part, that the allegations in the Complaint were fabrications. *See* Respondent’s February 11, 2020 Filing, at *2. On February 12, 2020, Chief Administration Law Judge Erin Wirth (“Your Honor”) served on Initial Order on the parties (“Initial Order”), directing the parties to, among other things, submit a joint proposed schedule and to participate in a preliminary conference with the Commission’s Office of Consumer Affairs and Dispute Resolution Services (CADRS). At that time, neither party submitted a joint schedule or provided information in response related to participation with CADRS. On March 2, 2020, Complainant served a Response to Respondent’s Motion. On March 30, 2020, Your Honor served the parties with an Order To Brief Motion To Dismiss. Your Honor directed the parties “to treat Respondent’s answer as a motion to dismiss and Complainant’s response as a response to the motion,” and provided the parties with an opportunity to file any additional legal or factual arguments and any other exhibits to be considered in light of Ocean Star’s February

11, 2020 filing, construed as a request to dismiss the Complaint (“Motion to Dismiss”). Your Honor directed that any such filings be filed no later than April 14, 2020. On April 10, 2020, counsel filed a Notice of Appearance on behalf of Ocean Star. Ocean Star affirms the nature of its February 11, 2020 filing as a Motion to Dismiss, and now files this Supplemental Memorandum in support of the Motion to Dismiss, arguing that Your Honor should dismiss all of Complainant’s claims, in their entirety and with prejudice, for the reasons stated herein. This Supplemental is timely filed, and within the page limit set by FMC Rules. *See* 46 C.F.R. § 502.70(e).

III. COMPLAINANT’S CLAIMS MUST BE DISMISSED FOR LACK OF PERSONAL JURISDICTION

a. Standard of Review

Complainant brings this proceeding at the Commission against Ocean Star, in part pursuant to a laundry list of Shipping Act provisions, including: (i) 46 U.S.C. § 41102(a) which prohibits persons from obtaining transportation at less than applicable rates; (ii) 46 U.S.C. § 41102(b) which prohibits persons operating under an agreement required to be filed under section 40302 or 40305; (iii) 46 U.S.C. § 41102(c) prohibits a common carrier, marine terminal operator, or ocean transportation intermediary from failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; (iv) 46 U.S.C. § 41103(a)(l) which prohibits a common carrier, marine terminal operator, or ocean freight forwarder to “disclose, offer, solicit, or receive any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee, if the information” “may be used to the detriment or prejudice of the shipper, the

consignee, or any common carrier”; (v) 46 U.S.C. § 41104 [a]³(1) prohibiting a common carrier from “obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract”; (vi) 46 U.S.C. § 41104 [a]⁴(2) prohibiting a common carrier from proving service in the liner trade that is not in accordance with a tariff or service contract; (vii) 46 U.S.C. § 41104 [a]⁵(3) prohibiting a common carrier from retaliation against a shipper because the shipper has filed a complaint; (viii) 41104 [a]⁶(4) prohibiting a common carrier from engaging in any unfair or unjustly discriminatory practice for service pursuant to a tariff; (ix) 41104 [a]⁷(8) prohibiting a common carrier from giving any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage; (x) 41104 [a]⁸(10) prohibiting a common carrier from unreasonably refusing to deal or negotiate; (xi) 46 U.S.C. § 41105 (1)(2)(4) prohibiting concerted actions by common carriers. Complainant also brings the proceeding pursuant to COGSA, set forth in 46 U.S.C. § 30701 *et seq.*

Ocean Star seeks dismissal of the Complaint with prejudice for lack of personal jurisdiction. As no specific FMC Rule provides for a motion to dismiss for lack of personal jurisdiction, we respectfully assert that Rule 12(b)(2) of the Federal Rules of Civil Procedure is applicable here. *See* 46 C.F.R. § 502.12 (“[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.”). Rule

³ Omitted in Complaint.

⁴ Same as above.

⁵ Same as above.

⁶ Same as above.

⁷ Same as above.

12(b)(2) allows for a defendant to bring a motion to dismiss for lack of personal jurisdiction. (“Every defense to a claim for relief in any pleading must be asserted in the responsive pleading if one is required. But a party may assert the following defenses by motion . . . (2) lack of personal jurisdiction”).

The Commission has clearly articulated in the past that, before proceeding to the merits of a case, the FMC must determine whether it has jurisdiction over the parties. *See, e.g., Kawasaki Kisen Kaisha, LTD. v. Intercontinental Exchange, Inc.*, Docket 00-01, 2000 WL 1285694 (F.M.C. Aug. 3, 2000) (it is “elementary law that a court or agency of limited jurisdiction such as the Federal Maritime Commission should determine its jurisdiction before proceeding to decide the merits of a controversy . . . ”); *see also Government of the Territory of Guam v. Sea-Land Service, Inc.*, 28 S.R.R. 252, 265 (FMC 1998) (“The general rule is that an adjudicatory body must first find that it has jurisdiction over the parties and the subject matter of the case before it reaches the merits.”). The case at hand presents this very issue, as it pertains to the Commission’s jurisdiction over Ocean Star in this proceeding.

b. The Federal Maritime Commission Has Personal Jurisdiction Limited Only to Certain Parties

The Commission’s jurisdiction over *specific* persons and entities involved in oceanborne commerce is well-established, dating to the enactment of the Shipping Act, 1916, and presently derived from and circumscribed by the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998, the Foreign Shipping Practices Act of 1988, Section 19 of the Merchant Marine Act, 1920, and Public Law No. 89-777. 46 U.S.C. §§ 40101–41309. Pursuant to the Shipping Act, the Commission has limited regulatory jurisdiction to oversee defined activities of international shipping lines (“ocean common carriers”), marine terminal operators, and ocean

⁸ Same as above.

transportation intermediaries (“OTIs”) that provide certain regulated services in the United States foreign commerce.

The Shipping Act defines an “ocean common carrier” as “a person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation . . .” 46 U.S.C. § 40102(6). The Act further defines an “ocean transportation intermediary” as an ocean freight forwarder or a non-vessel-operating common carrier. 46 U.S.C. § 40102(19). Specifically, an “ocean freight forwarder” is a person that “(a) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (b) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(18)(a) & (b). A “non-vessel-operating common carrier” or “NVOCC” means “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102 (16). In its dealing with the Complainant, Ocean Star arranged packing, crating, loading, unloading, and storage services for Complainant. *See Appendix – Exhibit 2*. Ocean did not act in any capacity as an OTI, including an NVOCC, for purposes of its dealings with the Complainant.

While the Commission does generally have personal jurisdiction over OTIs, we note that the Commission has no statutory or regulatory authority to oversee a person or entity that is not conducting activities that fall under the Act. Commission case law mandates that any damages claimed by a complainant must be the “proximate result of violations of the statute in question.” *See Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950); *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal Dist.*, 30 S.R.R. 8, 13 (FMC

2003). Therefore, under its prior precedents, the Commission should consider whether Ocean Star's activities with regards to its alleged dealings with the Complainant fall within the definition of a regulated entity under the Shipping Act.

c. Ocean Star Did Not Engage in Activities Regulated by the Shipping Act

While Ocean Star is licensed by the FMC as an OTI, Ocean Star did not ultimately engage in any ocean transportation intermediary activities when it came to its dealings with the Complainant. Indeed, as the Complainant states, the Complainant's goods never left Colorado (a landlocked state). *See* Compl. ¶ 37. Ocean Star never arranged for ocean transportation for the goods from Colorado, as a consequence of Complainant's own cancellation of their contractual agreement. *See* Compl. §§ 45(h), 57, 107; *see also* **Appendix – Exhibit B**. Consequently, for the purposes of its interactions with the Complainant, Ocean Star did not act in any capacity as an OTI. Even construing the facts in the most generous light to Complainant, the only services that Ocean Star arguably provided in this case was that of an inland freight broker, when the company arranged for the packing, transportation, and storage of the Complainant's goods in Colorado.⁹ As such, the Commission lacks personal jurisdiction over Ocean Star for the purposes of this Complaint.

d. Complainant Fails To Provide Affirmative Facts Showing that the Commission Has Personal Jurisdiction Over Ocean Star

Under Rule 12(b)(2), it is not sufficient for a plaintiff or complainant to establish personal jurisdiction merely by asserting conclusory allegations:

Where a district court's personal jurisdiction is contested, plaintiffs ultimately bear the burden of persuading the court that jurisdiction exists. A district court deciding a motion to dismiss for want of personal jurisdiction should apply the prima facie standard, under which the district court considers only whether the

⁹ Such activities are primarily regulated by the Federal Motor Carrier Safety Regulations, 49 C.F.R. Parts 300-399, administered by the Federal Motor Carrier Safety Administration (FMCSA). Such activities are outside the jurisdiction of the FMC.

plaintiff has proffered evidence that, if credited, is enough to support findings of all facts essential to personal jurisdiction. However, the *prima facie* showing of personal jurisdiction must be based on evidence of specific facts set forth in the record. In other words, the plaintiff must go beyond the pleadings and make affirmative proof.

See Memorandum and Order on Respondents’ Motion for Reconsideration, *R.O. White & Company and Ceres Marine Terminals Inc. v. Port of Miami Terminal Operating Company et al.*, Docket No. 06-11 (2007) (citing *NegrOn-Torres v. Verizon Communications. Inc.*, 478 F.3d 19, 23 (1st Cir. 2007)) (citations and internal quotation marks omitted).

The Complaint fails to satisfy Complainant’s burden of making a *prima facie* showing that the Commission has personal jurisdiction over Ocean Star under the Shipping Act. Complainant asserts violations of thirteen (13) separate parts of the Act but never states how Ocean Star’s activities violated any of those parts or provided any evidence that Ocean Star conducted any activities in its capacity as an OTI — when, in fact, Complainant herself acknowledges that all business dealings between the parties terminated before the goods left the state of Colorado, Compl. at ¶ 96, and Ocean Star only arranged for inland movement and storage for the Complainant. As such, the FMC has no personal jurisdiction over Ocean Star for the purposes of this proceeding.

IV. COMPLAINANT’S CLAIMS MUST BE DISMISSED FOR LACK OF SUBJECT MATTER JURISDICTION AND FAILURE TO STATE A CLAIM

a. Standard of Review

Ocean Star seeks dismissal of the Complaint with prejudice for lack of subject matter jurisdiction and for failure to state a claim upon which relief may be granted. While no specific FMC Rule provides for a motion to dismiss on either basis, the FMC should apply Rules 12(b)(1) and 12(b)(6) of the Federal Rules of Civil Procedure. *See* 46 C.F.R. § 502.12 (“[F]or

situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.”); *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 FMC LEXIS 12, *30 (F.M.C. Aug. 1, 2011) (“As the Commission’s Rules do not address motion to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case”); *DNB Exports LLC v. Barsan Global Logistics*, Docket No. 11-07, 2011 FMC LEXIS 26, *7 (F.M.C. July 7, 2011) (stating same).

b. Federal Rule of Civil Procedure 12(b)(1)

Under Federal Rule of Civil Procedure 12(b)(1), a court must grant a motion to dismiss if the court lacks subject matter jurisdiction. A Rule 12(b)(1) motion “may assert either a factual attack or a facial attack to jurisdiction.” *DNB Exports*, 2011 FMC LEXIS 26, *7 (citations omitted). A facial attack challenges the sufficiency of the allegations in the complaint while a factual attack challenges “the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.” *Id.* “[T]he plaintiff bears the burden of establishing that the court has jurisdiction.” *Grand Lodge of Fraternal Order of Police v. Ashcroft*, 185 F. Supp. 2d 9, 13 (D.D.C. 2001); *see also DNB Exports*, 2011 FMC LEXIS 26, *9.

Because subject-matter jurisdiction focuses on the court's power to hear a plaintiff's claim, a Rule 12(b)(1) motion imposes on a court an affirmative obligation to ensure that the court is acting within the scope of its jurisdictional authority. *Grand Lodge*, 185 F. Supp. at 13. Therefore, a complainant’s factual allegations bear increased scrutiny in resolving a 12(b)(1) motion than in resolving a 12(b)(6) motion for failure to state a claim. *Id.* at 13–14. Further, when a court assesses its jurisdictional authority to hear a claim pursuant to a Rule 12(b)(1)

motion to dismiss, the court need not limit itself to the allegations of the complaint but may consider such materials outside the pleadings as it deems appropriate to resolve the question whether it has jurisdiction in the case. *See id.* (citing *Hohri v. United States*, 782 F.2d 227, 241 (D.C. Cir. 1986)).

c. Federal Rule of Civil Procedure 12(b)(6)

Under Federal Rule of Civil Procedure 12(b)(6), for a cause of action to survive dismissal, a complaint must set forth “sufficient factual matter” to state “a claim to relief that is plausible on its face.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)); *see also Mitsui O.S.K. Lines Ltd.*, 2011 FMC LEXIS 12, *32 (applying *Iqbal* and *Twombly* pleading standards in Commission proceeding). To satisfy this “facial plausibility” standard, a plaintiff must allege “factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 556). Conversely, a complaint does *not* state a plausible claim to relief by merely offering a “formulaic recitation of the elements of a cause of action,” or by making “naked assertions devoid of further factual enhancement.” *Id.* (internal quotations omitted).

The federal courts consider three guiding principles when assessing the “facial plausibility” of a complaint under Rule 12(b)(6). First, a court may disregard “bald assertions or legal conclusions in a complaint when deciding a motion to dismiss.” *Mason v. Coca-Cola Co.*, 774 F. Supp. 2d 699, 702 (D.N.J. 2011) (internal quotations omitted). The U.S. Supreme Court has noted, “[t]hreadbare recitals of the elements of a cause of action, supported by mere conclusory statements, do not suffice.” *Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 555). Second, a court may “draw on its judicial experience and common sense” when

determining whether a pleading permits the court “to infer more than the mere possibility of misconduct.” *Iqbal*, 556 U.S. at 679. Finally, as a practical matter, if the face of a pleading does not state a plausible claim, it should be “exposed at the point of minimum expenditure of time and money by the parties and the court.” *Twombly*, 550 U.S. at 558 (internal quotation omitted).

d. Complainant’s Claims Must be Dismissed for Lack of Subject Matter Jurisdiction because the Commission’s Jurisdiction is Limited to Violations of the Shipping Act

The Complaint must be dismissed in its entirety and with prejudice because Complainant has not alleged any claims upon which the Commission has subject matter jurisdiction to grant relief. The Complainant does not allege violations of the Shipping Act. Instead the Complaint alleges solely breach of contract and tort claims, which the Commission lacks jurisdiction to adjudicate.¹⁰

It is well established that the Commission’s jurisdiction is limited to claims involving alleged violations of the Shipping Act. *See, e.g., Pasha Auto Warehousing v. Phila. Reg’l Port Auth.*, 1998 U.S. Dist. LEXIS 5532, at *17 (E.D. Pa. 1998) (“The Shipping Acts . . . only provide exclusive jurisdiction [to the FMC] over claims involving possible violations of the Shipping Acts”); *In re Containership Co.*, 466 B.R. 219, 226 (Bankr. S.D.N.Y. 2012). The Commission elaborated on this point in *Cargo One, Inc. v. COSCO Container Lines Company, Ltd.*, 28 S.R.R. 1635 (F.M.C. 2000). In that decision, the Commission observed that questions as to its jurisdiction turn on whether a claim involves elements peculiar to the Shipping Act, as amended, as distinguished from a mere breach of contract claim. *Id.* at 1645. Thus, “as a general matter,

¹⁰ Significantly, the Terms and Conditions of Service from Ocean Star, which Complainant reviewed and initialed in several places, specifically provides a dispute resolution mechanism for such claims, stating “shipper/consignee consents to the jurisdiction and venue of any court of general jurisdiction of Broward County, Florida and any legal proceedings arising out of this Agreement shall be brought only in such courts.” *See Appendix – Exhibit A.*

allegations essentially comprising contract law claims should be dismissed unless the party alleging the violations successfully rebuts the presumption that the claim is not more than simply a breach of contract claim.” *Id.* at 1645 n.17; *see also Anchor Shipping Co. v. Alianca Navegacao e Logistica Ltda*, 300 S.R.R. 991, 998–99 (2006). Accordingly, the Commission requires a private party’s complaint to allege a violation of the Shipping Act, as the Commission itself indicates in its regulations. *See* 46 C.F.R. § 502.62(a)(3)(v) (“Shipping Act violation must be alleged.”).

Complainant’s claims are plainly not based on the Shipping Act. First, the Complaint alleges that the FMC has subject matter jurisdiction on the allegations based on the Carriage of Goods by Sea Act, commonly referred to as COGSA, *see* Compl. Section II.A. This Act is not part of the Shipping Act and is squarely outside the Commission’s jurisdiction. Moreover, it is apparent that the alleged violations asserted by Complainant, and the corresponding damages, set forth pure breach of contract claims and tort claims. The Complainant’s damages arise Ocean Star’s alleged “failure to maintain contractual obligations along with breach of contract, fraud, forgery, deceptive trade practice, gross negligence and intentional misconduct, [which] set in motion a series of events and circumstances that caused damages/losses to the Complainant.” *See* Compl. Section V.A. Indeed, the entirety of the damages, which total at least \$256,241.00 according to Complainant, appears based on alleged “lost income and other related consequential and incidental damages,” “reparations for all additional consequential expenses endured,” “reparations for all additional consequential expenses endured” reparations for pain and suffering, mental anguish and duress, damage/loss of consortium, along with any and all medical expenses directly associated with as a result” and “reparations for punitive damages.” *See id.* Section V.A.1 – A.5. The FMC’s authority does not extend to claims that amount to mere

breach of contract claims with no elements particular to the Shipping Act. *See Cargo One, Inc.*, 28 S.R.R. at 1645. Further, we respectfully note that Your Honor advised the parties in the Initial Order as to the following:

Pursuant to the Shipping Act, reparations may only be awarded for actual damages. 46 U.S.C. § 41305(b). “Actual damages” means “compensation for the actual loss or injuries sustained by reason of the wrongdoing.” *Tractors & Farm Equip. Ltd v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788, 798 (ALJ 1992) (citing *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1230 (FMC 1990)). “It exclude[s] punitive or exemplary damages.” *Tractors & Farm*, 26 S.R.R. at 798. In determining how to proceed with this claim, the parties should be aware that damages from pain and suffering, mental anguish and duress, damage/loss of consortium, and punitive damages are generally not available. *Lima v. Fastway*, 34 S.R.R. 1097, 1101 (ALJ 2018) *aff’d in part and vacated-in-part* 1 F.M.C.2d (FMC 2019). (emphasis added).

Given that virtually the entirety of the Complainant’s claims are breach of contract claims and tort claims, with corresponding damages for consequential and punitive damages and tort-based damages, the Federal Maritime Commission is clearly an inappropriate forum to adjudicate Complainant’s alleged claim. Simply put, the Commission does not have subject matter jurisdiction under the Shipping Act to redress Complainant’s alleged injuries. Ocean Star respectfully asserts that this alone is sufficient for Your Honor to end its inquiry and dismiss the Complaint. Nevertheless, Ocean Star provides additional reasons that the Commission must dismiss the Complaint.

e. Complainant’s Claims Must Be Dismissed Because Ocean Star Was Not In Fact a Common Carrier

As previously discussed, Ocean Star did not act as a common carrier, including as an NVOCC, with regards to any dealings with the Complainant. Ocean Star simply undertook to dispatch and book space for the transportation of Complainant’s cargo. Further, Ocean Star did not issue its own through bill of lading to the Complainant for the movement of her cargo. As such, Ocean Star respectfully asserts that any and all of the Complainant’s claims based on

alleged violations of the sections of the Shipping Act that pertain to “common carriers” must be dismissed for lack of subject matter jurisdiction. In particular, all claims pursuant to alleged violations of 46 U.S.C. § 41104 and its subparts, and 46 U.S.C. § 41105 and its subparts, must be dismissed.

f. Complainant’s Claims Must Be Dismissed for Failure to Plausibly Allege Facts Constituting A Violation of the Shipping Act

Yet another entirely independent and distinct grounds for dismissal is that Complainant’s Complaint does not plausibly allege facts constituting any violation or violations of the Shipping Act. Even if the Commission had jurisdiction to adjudicate this case (*i.e.*, even if Complainant did not allege mere breach of contract and tort claims), the Complaint would still fail to state a claim for relief under the Shipping Act. Complainant brings her claims under “the Carriage of Goods by Sea Act (“COGSA”), 46 U.S.C. § 30701,” Compl. II.A. which as discussed is not part of the Shipping Act and entirely outside the Commission’s jurisdiction, and under thirteen (13) separate provisions of the Shipping Act—46 U.S.C. § 41102 (a)(b)(c), 46 U.S.C. § 41103(a)(l), 46 U.S.C. § 41104 (1)(2)(3)(4)(8)(10), and 46 U.S.C. § 41105 (1)(2)(4). *See* Compl. II.B–II.E. Aside from baldly reciting and completely misunderstanding the elements of these provisions, Complainant also fails to allege facts that would constitute violations of the Shipping Act. Below we address each provision of the Shipping Act in turn.

i. Complainant Failed to Assert a Violation of 46 U.S.C. § 41102(a)

Complainant’s claim of a violation of 46 U.S.C. § 41102(a) must be dismissed, because Complainant fails to allege with any level of factual detail that Ocean Star knowingly or willingly, “by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means” attempted to obtain “ocean transportation for property at less than the rates or charges that would otherwise apply.”

Complainant's arguments evidently center around Ocean Star's estimate for charges provided to the Complainant and additional charges for packing, inland moving and storage fees, which were allegedly subsequently revised by Ocean Star from the original estimate. See Compl. Section IV.A.1(a). Complainant's assertions are a clear misunderstanding of 46 U.S.C. § 41102(a), which prohibits persons from obtaining ocean transportation for property at less than the rates or charges that would otherwise apply. There are no facts alleged to indicate that Ocean Star was attempting to "obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply" from a NVOCC or an ocean common carrier. As such, even the most liberal construction of the facts forth by the Complainant fails to plausibly assert a violation of § 41102(a). Aside from a formulaic recitation of the statutory provision, the Complaint fails to provide any factual basis to allege a violation of § 41102(a). Therefore, this claim must be dismissed.

ii. Complainant Failed to Assert a Violation of 46 U.S.C. § 41102(b)

Complainant's claim of a violation of 46 U.S.C. § 41102(b) must be dismissed, because Complainant fails to allege with any level of factual detail that Ocean Star was "operating under an agreement required to be filed under section 40302 or 40305." 46 U.S.C. § 40302 addresses the filing of Ocean Common Carrier Agreements and Marine Terminal Operator ("MTO") Agreements with the FMC, and 46 U.S.C. § 40305 address the filing of Assessment Agreements with the FMC — neither of which are relevant to the Complainant's claims. Even construing Complainant's factual allegations in the most sympathetic light, not only did Ocean Star not operate as a common carrier, but Ocean Star did not operate under any agreements required to be filed under section 40302 or 40305 of the Shipping Act.

In her arguments, Complainant appears to reference a contractual agreement between the

parties as evidence of a violation, which she incorrectly refers to as a “Service Contract.” See Compl. Section IV.A.1(b). Yet the “agreements” cited in § 41102(b) are ocean common carrier agreements and MTO agreements, and the Complaint fails to provide any factual basis to allege a violation of the same. Therefore, this claim must be dismissed.

iii. Complainant Failed to Assert a Violation of 46 U.S.C. § 41102(c)

46 U.S.C. § 41102(c) requires a common carrier, marine terminal operator, or ocean transportation intermediary to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property. As raised in Your Honor’s Initial Order, the Commission has provided the industry with clear guidance that, in order to constitute a violation of § 41102(c), an unreasonable regulation or practice must be the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated entity was conducting business. See *Interpretive Rule, Shipping Act of 1984*, Docket No. 18-06 (2018).¹¹ As directed in Your Honor’s Order to Brief Motion to Dismiss, instructing the parties to review the issues raised in the Initial Order, Ocean Star reiterates that Complainant has not plausibly alleged relevant facts with respect to a violation of § 41102(c). Here, Complainant has not presented any facts that indicate that Ocean Star’s alleged conduct was “normal, customary, often repeated, systematic, uniform, habitual, and continuous.” Instead, the Complaint describes a single nexus of events between Complainant and Ocean Star. Moreover, the Complainant’s lengthy recounting of alleged facts about storage and handling issues focus on deficient storage and handling practices of the third-parties, not the conduct of Ocean Star. See Compl. Section IV.A.1(c). The Complaint fails to

¹¹ Further, matters that may previously have been brought under § 41102(c) must find resolution in other provisions or regulations of the Shipping Act or be adjudicated as matters of contract law, agency law, or admiralty law. See *id.*

provide any plausible factual basis for a violation of § 41102(c) and this claim must be dismissed.

iv. Complainant Failed to Assert a Violation of 46 U.S.C. § 41103(a)(1)

Complainant's claim of a violation of 46 U.S.C. § 41103(a)(1) must be dismissed, because Complainant fails to allege with any plausible level of factual detail that Ocean Star disclosed, offered, solicited, or received any information concerning the nature, kind, quantity, destination, consignee, or routing of any property tendered or delivered to a common carrier, without the consent of the shipper or consignee and that the information was used to the detriment or prejudice of the shipper, the consignee, or any common carrier. Complainant's allegation regarding how Ocean Star violated § 41103(a)(1) evidently state that Ocean Star "demanded coordination with a professional team," which resulted in "detrimentally preventing transportation via a different company." See Compl. Section IV.A.2(a)(1)(a). While it is patently unclear what exactly the Complainant is alleging, these allegations generally appear to relate to scheduling issues, alleged changes in payment options and invoices, and the alleged failure to advise the Complainant of the ownership of warehouse facilities. *Id.* None of these allegations relate to the improper disclosure or receipt of information by Ocean Star, as a violation of § 41103(a)(1) would require. Further, it remains entirely unclear and implausible how Ocean Star requesting coordination with its employees, and/or with the transportation companies with which it has arranged freight, would disclose information "used to the detriment or prejudice of the shipper." As such, Complainant has failed to provide any plausible factual basis to allege a violation of § 41103(a)(1). Therefore, this claim must be dismissed.

v. Complainant Failed to Assert a Violation of 46 U.S.C. § 41104 [a]¹²(1)

Complainant's claim of a violation of 46 U.S.C. § 41104 [a]¹³(1) must also be dismissed, because Ocean Star did not as a common carrier and further Complainant alleges no factual basis whatsoever to support a violation of the provision. Even assuming *arguendo* a situation where Ocean Star acted as a NVOCC, 46 U.S.C. § 41104(a)(1) prohibits a common carrier from obtaining "transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means." Nothing in the allegations in the Complaint plausibly indicates that Ocean Star obtained transportation for property at less than the rates or charges established by the carrier in its tariff or service contract. In fact, Ocean Star did not arrange for ocean transportation at all with respect to Complainant.

In the argument alleging a violation of § 41104(a)(1), the Complaint simply states "[a]ll were violated to obtain contractual agreements with ED as well as respective subcontractors" with no additional details or explanation. The Complaint may misconstrue what "Service Contract," as defined in 46 C.F.R. §530.3(q), means within the context of the Shipping Act. In any event, because the Complaint fails to provide any plausible factual basis to allege a violation of § 41104 [a](1), this claim must be dismissed.

vi. Complainant Failed to Assert a Violation of 46 U.S.C. § 41104 [a]¹⁴(2)

Complainant's claim of a violation of 46 U.S.C. § 41104 [a]¹⁵(2) must also be dismissed

¹² Part of this citation was omitted by Complainant, but Ocean Star understands the relevant provision to be as stated, for this and a number of citations that follow.

¹³ Same as above.

¹⁴ Same as above.

because Ocean Star was not acting as a common carrier and because the Complaint alleges no factual basis whatsoever to support a violation of the provision. 46 U.S.C. § 41104 (a)(2) prohibits a common carrier from providing service in the liner trade that is not in accordance with a valid tariff or service contract. Nothing in the Complaint’s allegations indicate that Ocean Star actually provided any ocean transportation services to Complainant. Even if that were true, nothing in the Complaint indicates that such ocean transportation services were rated not in accordance with a tariff, or a Service Contract as defined in 46 C.F.R. §530.3(q). In fact, Ocean Star did not act in the capacity as a common carrier, provide ocean transportation, or charge the Complainant any ocean freight at all. Because Complainant fails to provide any plausible factual basis to allege a violation of § 41104 (a)(2), this claim must be dismissed.

vii. Complainant Failed to Assert a Violation of 46 U.S.C. § 41104 [a]¹⁶(3)

Complainant’s claim of a violation of 46 U.S.C. § 41104 [a]¹⁷(3) must be dismissed because Ocean Star was not acting as a common carrier and because Complainant alleges no factual basis whatsoever to support a violation of the provision. 46 U.S.C. § 41104 (a)(3) prohibits a common carrier from retaliating “against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” Even assuming *arguendo* that Ocean Star acted as a common carrier, Ocean Star’s attempts to provide services to Complainant were delayed repeatedly by Complainant’s own delays and failure to coordinate, see Compl. ¶¶ 29, 34, 64, and

¹⁵ Same as above.

¹⁶ Same as above.

¹⁷ Same as above.

there is nothing in the Complaint’s allegations that plausibly indicate Ocean Star “retaliated” against the Complainant or resorted to unjust or discriminatory methods against Complainant in contrast to other customers. Further, nothing in the records indicates the existence of a formal complaint filed against Ocean Star until the present Complaint was filed. Because the Complaint fails to provide any plausible factual basis to allege a violation of § 41104 (a)(3), this claim must be dismissed.

viii. Complainant Failed to Assert a Violation of 46 U.S.C. § 41104 [a]¹⁸(4)

Complainant’s claim of a violation of 46 U.S.C. § 41104 [a]¹⁹(4) must be dismissed because Ocean Star did not act as a common carrier and because Complainant alleges no factual basis whatsoever to support a violation of the provision. 46 U.S.C. § 41104(a)(4) prohibits a common carrier, when providing service pursuant to a tariff, from engaging in any unfair or unjustly discriminatory practice in the matter of rates or charges; cargo classifications; cargo space accommodations; loading or handling of freight; or adjustment or settlement of claims. Again, nothing in Complainant’s allegations indicate that Ocean Star provided ocean transportation services to Complainant as a common carrier. Even assuming *arguendo* that Ocean Star did provide such services, nothing indicates that the services were pursuant to a tariff. Apart from simply reciting the statutory provision, the Complaint presents no facts supporting the allegation that Ocean Star acted in an “unfair or unjustly discriminatory” manner. See Compl. Section IV.A.3(a)(4). Because the Complaint fails to provide any plausible factual basis to allege a violation of § 41104 (a)(4), this claim must be dismissed.

¹⁸ Same as above.

¹⁹ Same as above.

ix. Complainant Failed to Assert a Violation of 46 U.S.C. § 41104 [a]²⁰(8)

Complainant's claim of a violation of 46 U.S.C. § 41104 [a]²¹(8) must also be dismissed, because Ocean Star was not acting as a common carrier and Complainant alleges no factual basis whatsoever to support a violation of the provision. 46 U.S.C. § 41104 (a)(8) prohibits a common carrier, when providing service pursuant to a tariff, from giving any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage. Nothing in the record shows that Ocean Star provided ocean transportation services to Complainant or a common carrier pursuant to a tariff. Further, there are no facts in the record pointing to an undue or unreasonable preference or advantage or any undue or unreasonable prejudice or disadvantage towards the Complainant compared to other similarly situated customers. Because the Complaint fails to provide any factual basis to allege a violation of § 41104 (a)(8), this claim must be dismissed.

x. Complainant Failed to Assert a Violation of 46 U.S.C. § 41104 [a]²²(10)

Complainant's claim of a violation of 46 U.S.C. § 41104 [a]²³(10) must also be dismissed because Ocean Star was not acting as a common carrier and because Complainant alleges no factual basis whatsoever to support a violation of the provision. 46 U.S.C. § 41104 (a)(10) prohibits a common carrier from unreasonably refusing to deal or negotiate. Even assuming *arguendo* that Ocean Star was acting as a common carrier, there are no allegations in the Complaint that indicate Ocean Star failed to deal or negotiate with Complainant. In fact, the

²⁰ Same as above.

²¹ Same as above.

²² Same as above.

²³ Same as above.

Complaint alleges communications between the parties for weeks on end regarding the Complainant's belongings. Further, by her own account, Complainant was the party that requested cancellation of proposed services and the return of her belongings. See Compl. ¶ 45(h). Because Complainant fails to provide any factual basis to allege a violation of § 41104(a)(10), this claim must be dismissed.

xi. Complainant Fails to Assert a Violation of 46 U.S.C. § 41105(1), 46 U.S.C. § 41105(2) and 46 U.S.C. § 41105(4)

46 U.S.C. § 41105(1), 46 U.S.C. § 41105(2) and 46 U.S.C. § 41105(4) generally address anticompetitive conduct between carriers. The Complaint fails to provide any factual basis to support a violation of these provisions. As stated previously, Ocean Star did not act as a common carrier. Further, even assuming *arguendo* that it did, the allegations in the Complaint do not plausibly support a claim that Ocean Star took any “concerted action” with any other common carriers, as required for a violation of § 41105(1), nor do they support a claim that Ocean Star took action with any other common carrier to “engage in conduct that unreasonably restricts the use of intermodal services,” as required for a violation of § 41105(2). They also do not plausibly support an allegation that Ocean Star and another common carrier negotiated with a non-ocean carrier or group of non-ocean carriers (such as truck, rail, or air operators) on any matter relating to rates or services provided to ocean common carriers within the United States, as necessary for a violation of § 41105(4). Complainant's allegations entirely misconstrue misunderstand the behavior that is prohibited under § 41105. As such, the Complaint's claims under 46 U.S.C. § 41105 must be dismissed.

Even when interpreted generously and in the best light, all of Complainant's claims related to the Shipping Act, each addressed in turn and each shown to clearly be deficient, are

textbook examples of a “formulaic recitation of the elements of [the] cause of action,” which the Supreme Court has made clear is *not* sufficient to state a plausible cause of action under Rule 12(b)(6). *Iqbal*, 556 U.S. at 678. Complainant has evidently attempted to throw every claim up on the wall to see what may stick, but simply does not plausibly allege the facts to support any of these claims. All such claims must be dismissed.

V. CONCLUSION

Complainant has failed to meet her burden on showing that the Commission has personal jurisdiction or subject matter jurisdiction over Ocean Star. Moreover, to the extent that Complainant has attempted to invoke the Shipping Act, Complainant has completely failed to plausibly allege facts supporting any such violations.

Relief Requested

For the foregoing reasons, Ocean Star hereby respectfully requests that the Complaint be dismissed, in its entirety and with prejudice, as to Ocean Star International Inc. d/b/a/ International Van Lines, and that any further relief deemed just, reasonable, and proper be provided to Ocean Star.

Dated: April 14, 2020

Respectfully submitted,

/s/ Ashley W. Craig
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon all parties noted below by electronic mail, to the following person:

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Dated at Washington, D.C. this 14th day of April 2020.

/s/ Wesley S. Sudduth

Counsel for Respondent